Leadershield Network: Commission & Compensation Overview

1. Our Compensation Philosophy

At Leadershield Network, our compensation philosophy is rooted in a partnership model that rewards performance, encourages long-term relationships, and provides multiple streams of income. We have designed a comprehensive and transparent compensation structure that allows you to build a sustainable and profitable business. Our goal is to aggressively reward front-end production while also providing the opportunity for long-term residual income.

This document provides a detailed overview of the commission and compensation structure for both the Merchant Growth Platform and our traditional Merchant Cash Advance (MCA) program.

2. Merchant Growth Platform Commissions

The Merchant Growth Platform is a subscription-based service that provides a recurring revenue stream for our agents. Commissions are paid monthly based on the collected revenue from your merchants' subscriptions.

Commission Pools

The total commission pool is a percentage of the collected monthly subscription fee and varies by tier:

Tier	Subscription Price	Commission Pool
Tier 1: Merchant Essentials	$199/month	50%
Tier 2: Growth Accelerator	$429/month	60%
Tier 3: Elite AI Revenue System	$749/month	70%

Commission Decay Schedule

To align compensation with merchant retention, the commission percentage for new subscriptions decays over the first 12 months. This structure provides a significant upfront commission while encouraging long-term merchant relationships. The following table illustrates the decay schedule for a Tier 2 subscription:

Months	Commission Percentage (Tier 2 Example)
1-3	60%
4-6	45%
7-9	30%
10-12	15%

Residual Income

After the initial 12-month period, you will continue to earn a **10% residual commission** on the collected subscription revenue for the life of the account, provided you meet the minimum production requirements. To be eligible for residual income, you must maintain a minimum monthly production of either:

- $3,000 in collected subscription revenue, OR
- One (1) funded MCA and one (1) new subscription.

MCA Pairing Enhancement

To incentivize the bundling of our core products, we offer a **5% commission enhancement** for the first three months of a new subscription when it is paired with a successfully funded MCA. This enhancement is a powerful way to maximize your upfront earnings.

3. Merchant Cash Advance (MCA) Commissions

Our MCA commission structure is designed to be both competitive and compliant, rewarding all agents who contribute to a successful funding.

Gross Brokerage Revenue (GBR) Waterfall

All commissions are paid from the Gross Brokerage Revenue (GBR) received from our funding partners. The GBR is allocated according to the following waterfall:

Allocation Category	Percentage of GBR	Notes
Transaction Fulfillment Compensation (TFC)	30% - 40%	Paid to the Fulfillment Agent based on a monthly

		performance tier.
Merchant Acquisition Compensation (MAC)	30% (fixed)	Paid to the agents who sourced the deal.
Platform Infrastructure & Compliance Fee (PICF)	25% - 35%	Retained by the platform to cover operational costs.
Risk Stabilization Reserve (RSR)	5% (fixed)	Held in reserve to mitigate potential clawbacks.

Merchant Acquisition Compensation (MAC) Split

The 30% MAC is split among the agents in the referral chain as follows:

Agent Role	Percentage of GBR
Primary Referring Agent	22%
Senior Referral Sponsor	5%
Executive Referral Sponsor	3%

Quarterly Performance Accelerators

High-producing agents are eligible for a quarterly bonus based on their personal funded volume. This accelerator is paid from platform funds and does not affect the base commission percentages.

Quarterly Funded Volume	Accelerator Bonus
$250,000+	0.5%
$500,000+	1.0%
$1,000,000+	2.0%
$2,000,000+	3.0%

Renewal Commissions

You will continue to earn commissions on renewed MCA deals. The MAC for renewals is 15% of the GBR, with 11% allocated to the Primary Referring Agent, 2.5% to the Senior Referral Sponsor, and 1.5% to the Executive Referral Sponsor.

4. Platform Fees & Waivers

We provide a robust platform with all the tools you need to succeed. To maintain this high-quality infrastructure, we have a nominal fee structure that can be offset by your production.

Agent Platform Fee

A monthly fee of **$99** provides you with access to our CRM, reporting, training, and support. This fee can be reduced or waived based on your collected monthly subscription revenue:

Collected Subscription Revenue	Fee Reduction
$3,000+	50% Reduction
$5,000+	100% Waiver
$8,500+	100% Waiver + $100 Credit

Agency Platform Fees

For agents who build and manage a team, there is a tiered monthly fee based on the number of agents in your organization. These fees can also be waived based on the total production of your agency.

5. Payout Mechanics

- **Payout Timing:** 70% of your earned commission is paid upon confirmation of funding, with the remaining 30% deferred for 60-90 days to cover any potential clawbacks.
- **Clawback Policy:** In the event of an early default, a portion of the commission may be clawed back. The clawback is 100% within the first 30 days and 50% between 31 and 90 days.